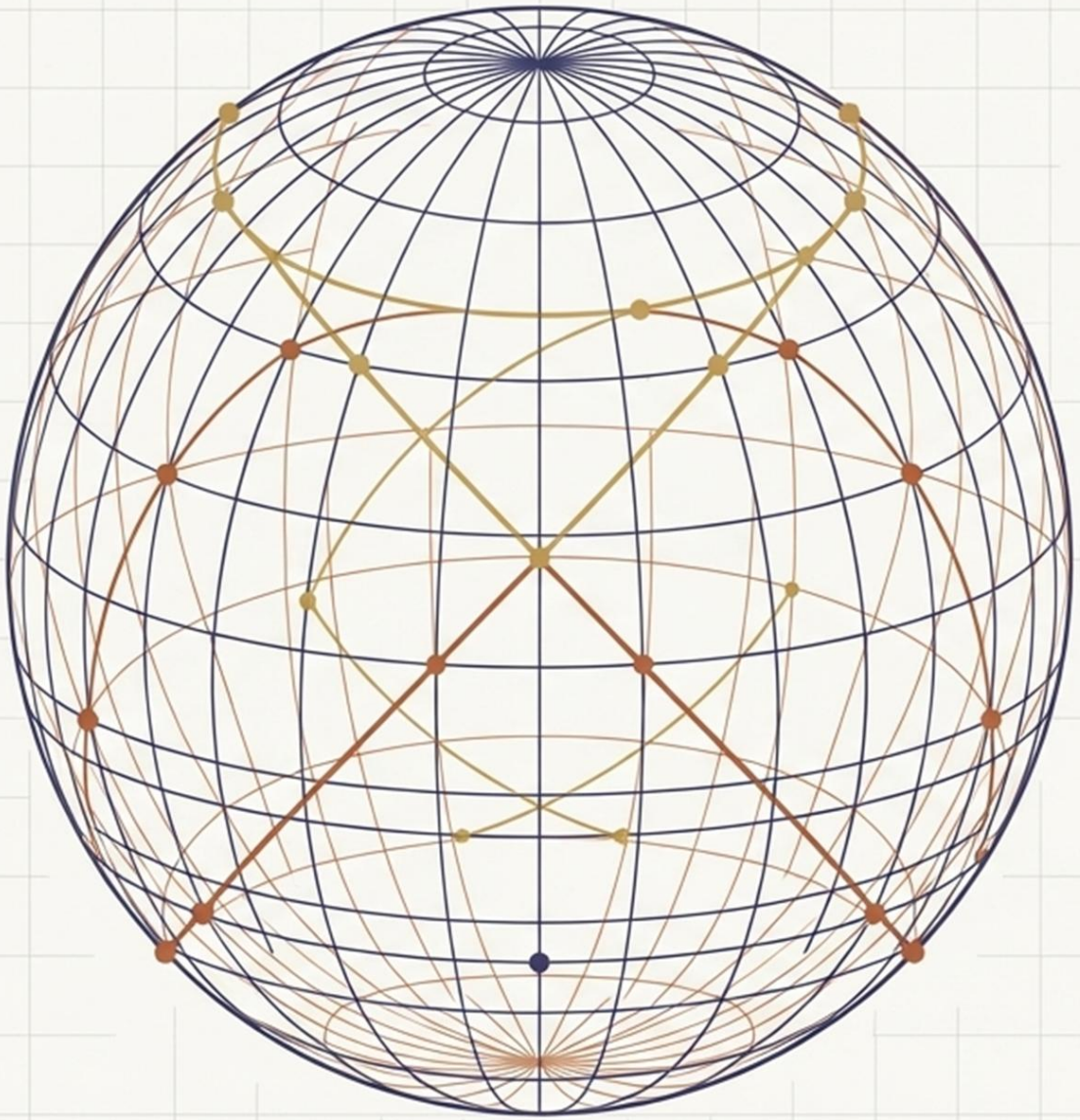


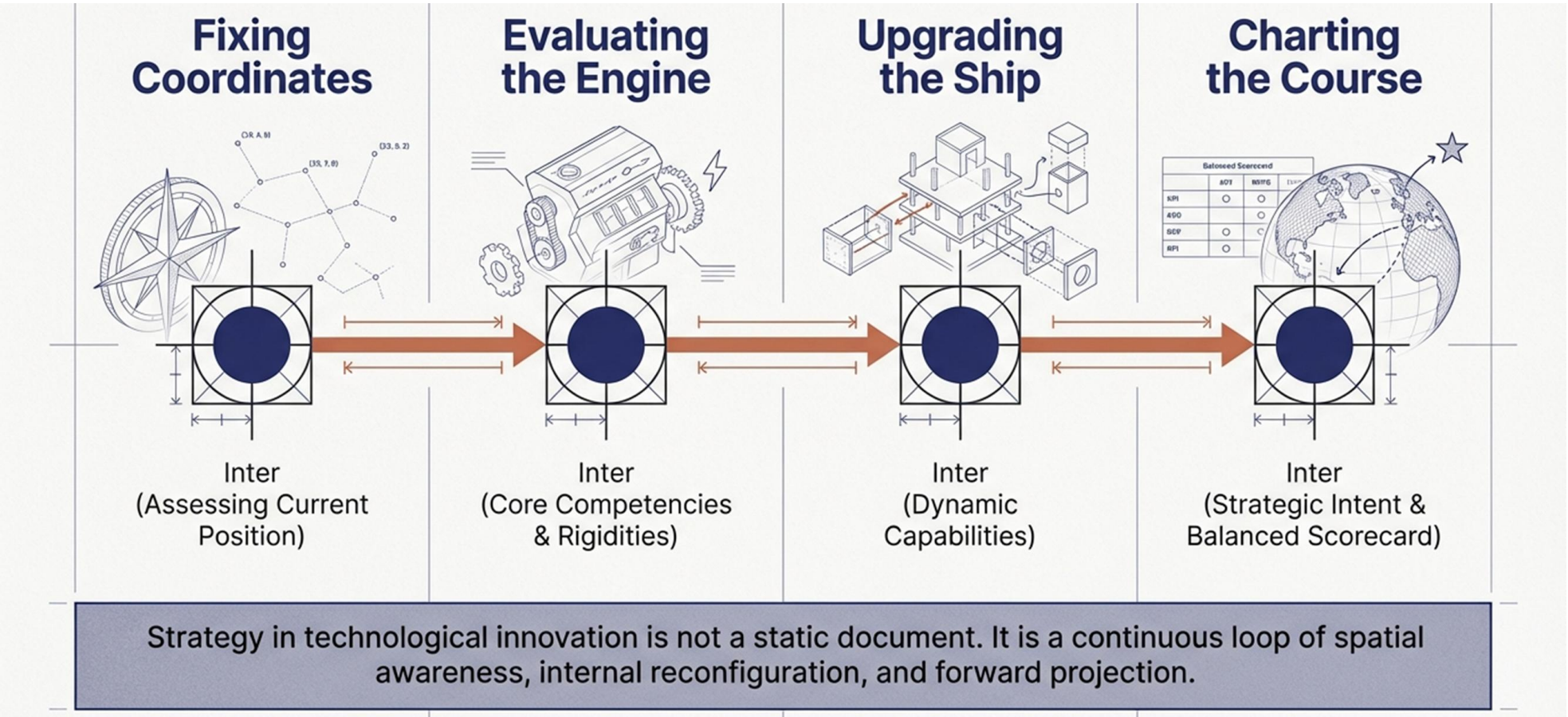
Defining the Organization's Strategic Direction

A visual playbook for navigating technological innovation, assessing core capabilities, and charting execution.

WEEK 6

Defining the Organization’s Strategic Direction

- The first step in formulating a technological innovation strategy: assessing the firm's current position and defining its future direction. This involves a comprehensive analysis of the **external environment** and **internal capabilities** to establish a clear strategic intent.



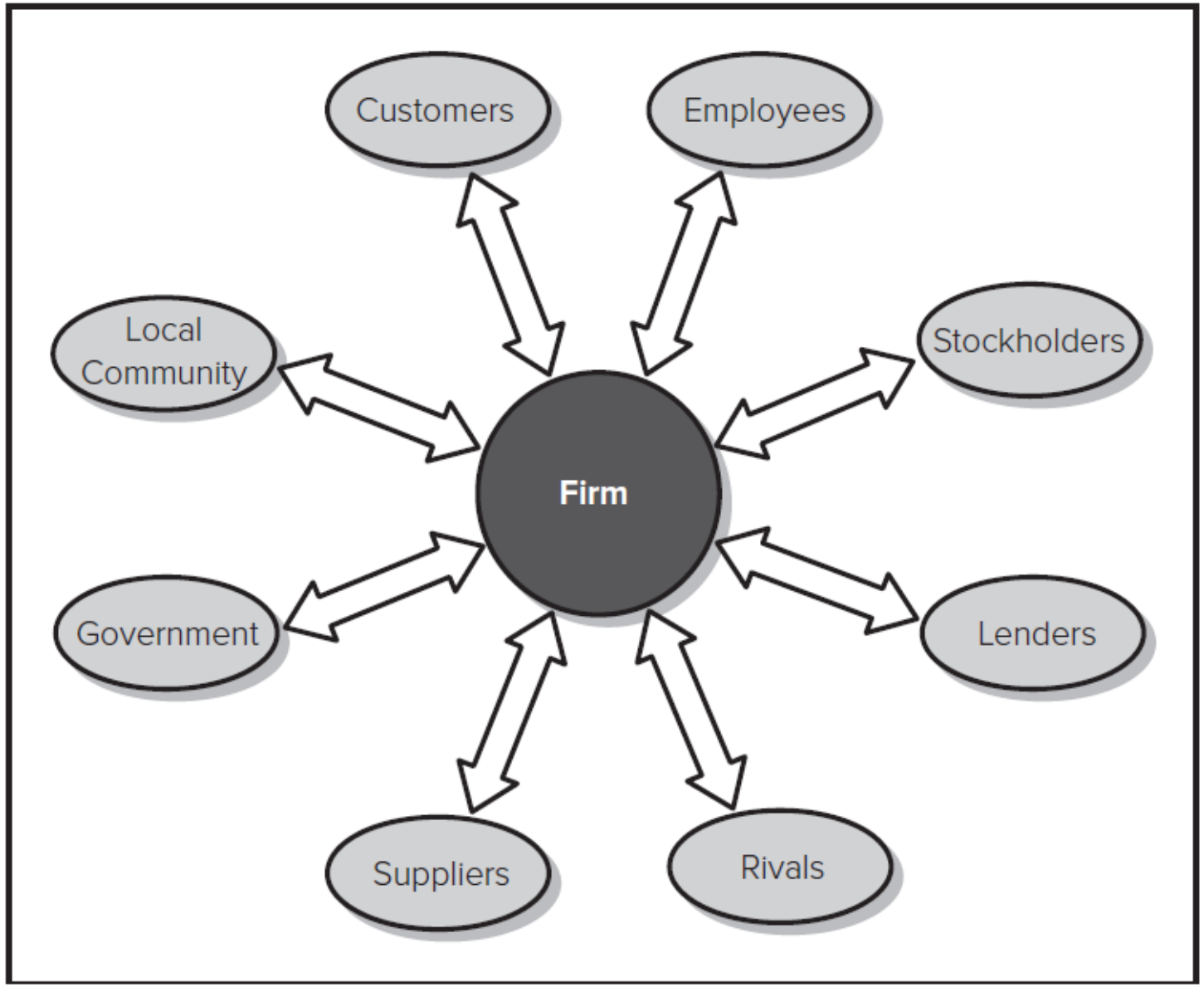
External Analysis

- Firms must understand the competitive landscape before committing to a technological path. Two primary tools are used:
- **Five-Forces Model:** This framework evaluates industry attractiveness by analyzing the bargaining power of suppliers, the bargaining power of buyers, the threat of potential entrants, the threat of substitutes, and the intensity of rivalry among existing competitors.
- **Stakeholder Analysis:** This involves identifying any entity affected by the firm's behavior. The analysis identifies stakeholder interests, what they contribute to the organization, and what claims they are likely to make. Key stakeholders typically include stockholders, employees, customers, suppliers, lenders, local communities, and government agencies.

Five-Forces Model:

- Crucially, these forces must be viewed through the lens of technological innovation; for example, "Operations" must be linked to process innovations and flexible manufacturing that can reduce the power of suppliers or heighten the barriers for new entrants.
- An inaccurate external analysis leads to a catastrophic misalignment between innovation output and market demand.
- If a firm fails to account for the bargaining power of distributors or the ease of technological substitution, its R&D output will fail to navigate the commercialization funnel. This underscores the necessity of anchoring technological development in the realities of the macro-environment before assessing the firm's internal resource base.

Stakeholder Analysis



Internal Analysis

To identify strengths and weaknesses, firms analyze their internal activities and resources.

- **Inbound Logistics:** The handling of raw materials or data inputs.
- **Operations:** Transforming inputs through process innovation and flexible manufacturing.
- **Outbound Logistics:** The distribution of finished technological output.
- **Marketing and Sales:** Communicating the value of the innovation to the user base.
- **Service:** Maintaining the product's value post-sale.

Porter's Value Chain

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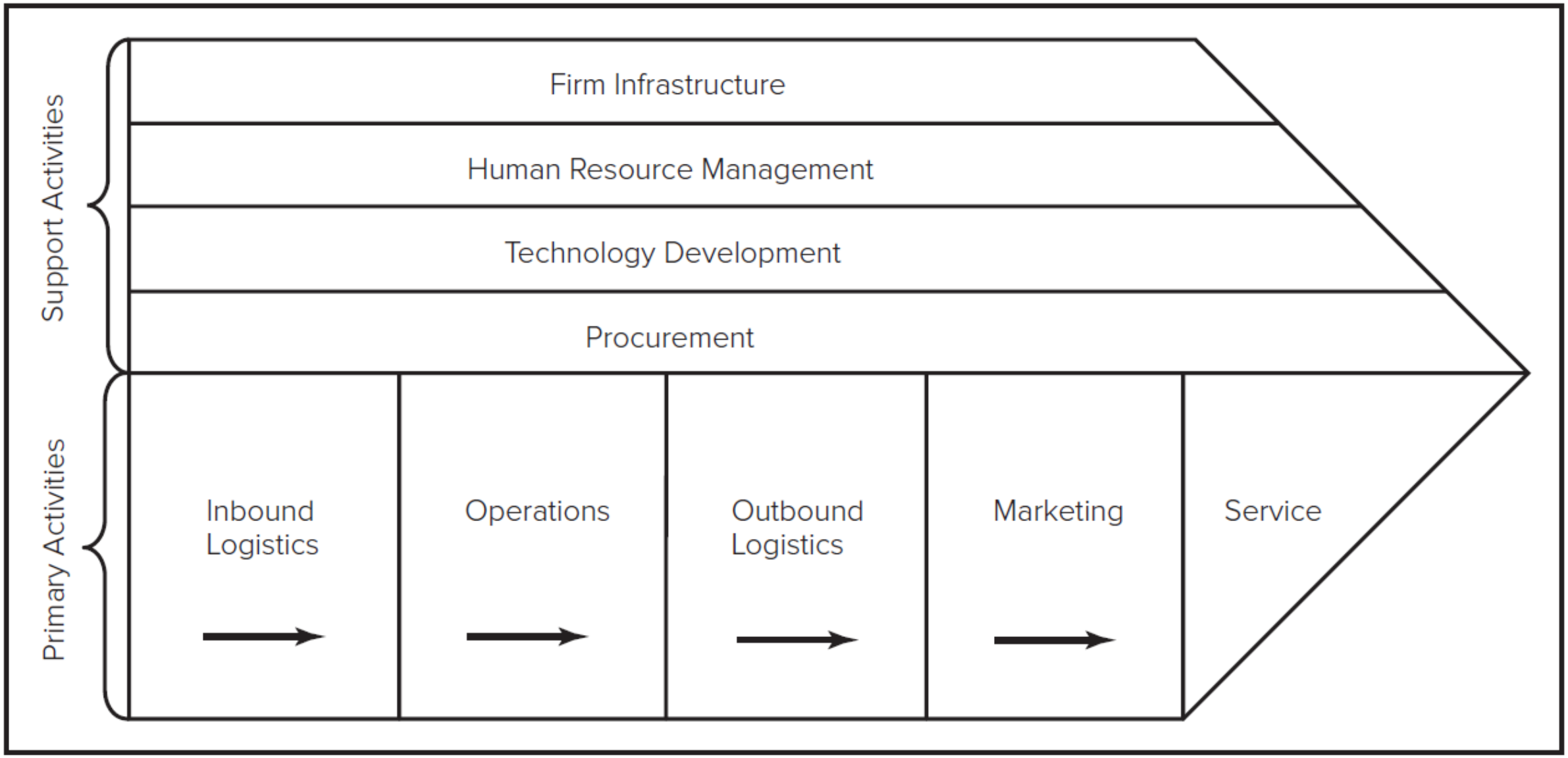
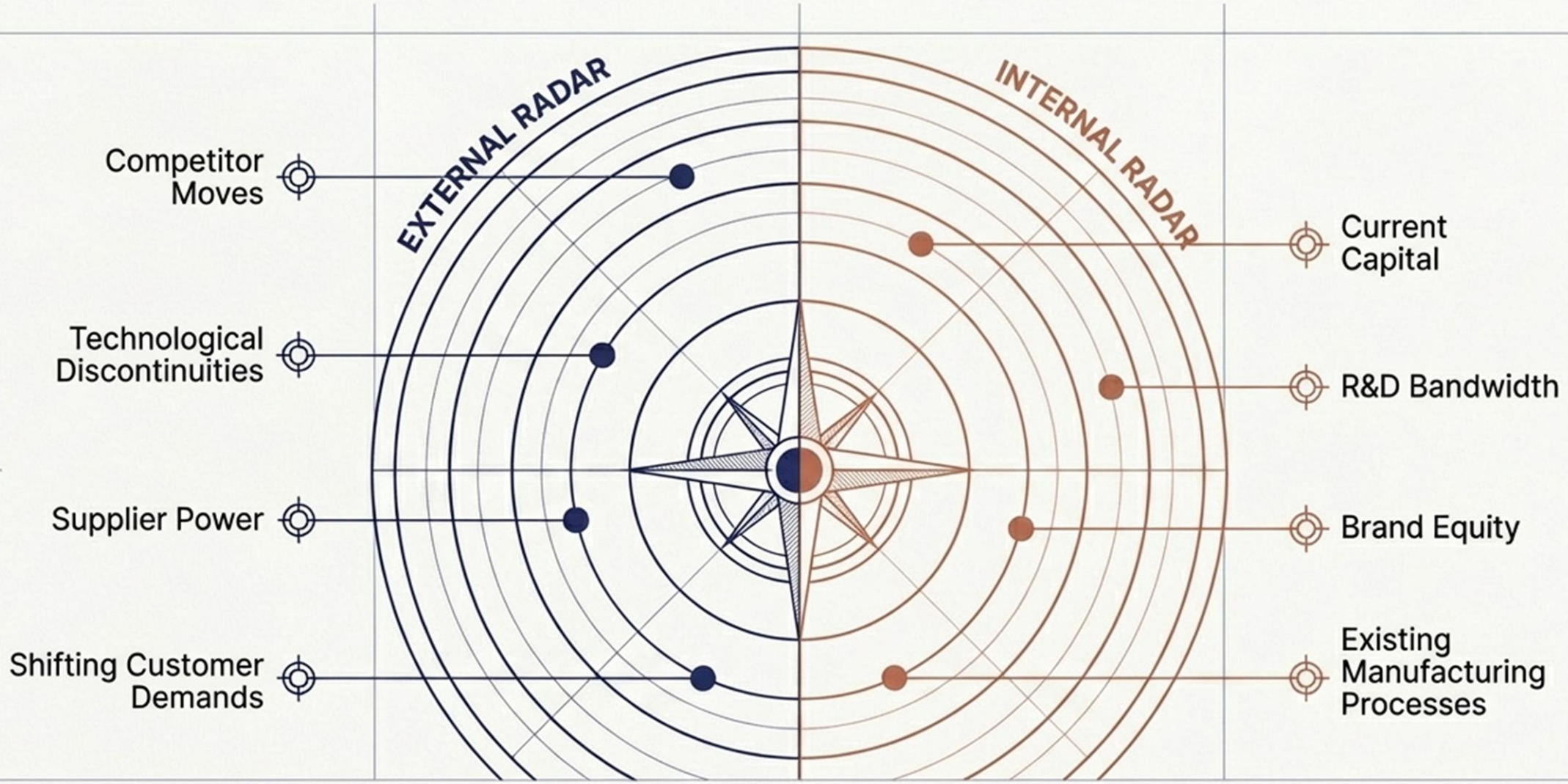


Internal Analysis

- For these internal resources to transition from simple activities to a **Sustainable Competitive Advantage** , they must meet the Schilling criteria: they must be valuable, rare, difficult to imitate, and non-substitutable.
- **The Strategic Impact:** Identifying internal gaps allows a firm to make the critical "Go-Solo vs. Collaborate" decision. If the value chain analysis reveals that the firm lacks the requisite capabilities to reach the technology frontier, management must prioritize R&D investment or seek external collaboration.
- A firm that recognizes its internal limitations early can pivot toward alliances, ensuring it does not waste resources on development paths where it lacks a competitive edge. This leads directly to the identification of higher-level core competencies.



Strategic direction begins by identifying the exact delta between what the external environment demands and what the the internal environment can currently deliver.

Identifying Core Competencies

A **core competency** is more than a specific technology; it is a harmonized combination of multiple primary abilities in which the firm excels.

- **Roots of Innovation:** Prahalad and Hamel describe core competencies as the "roots" of a company, from which core products grow, eventually leading to various business units and end products.
- **Dynamic Capabilities:** In fast-changing environments, firms must develop **dynamic capabilities**, which is the ability to renew, augment, and adapt core competencies to stay competitive.
- **Risk of Core Rigidities:** A danger exists where successful core competencies become so ingrained in a firm's culture and processes that they become **core rigidities**—inflexible strengths that prevent the firm from responding to new technological shifts or market changes.

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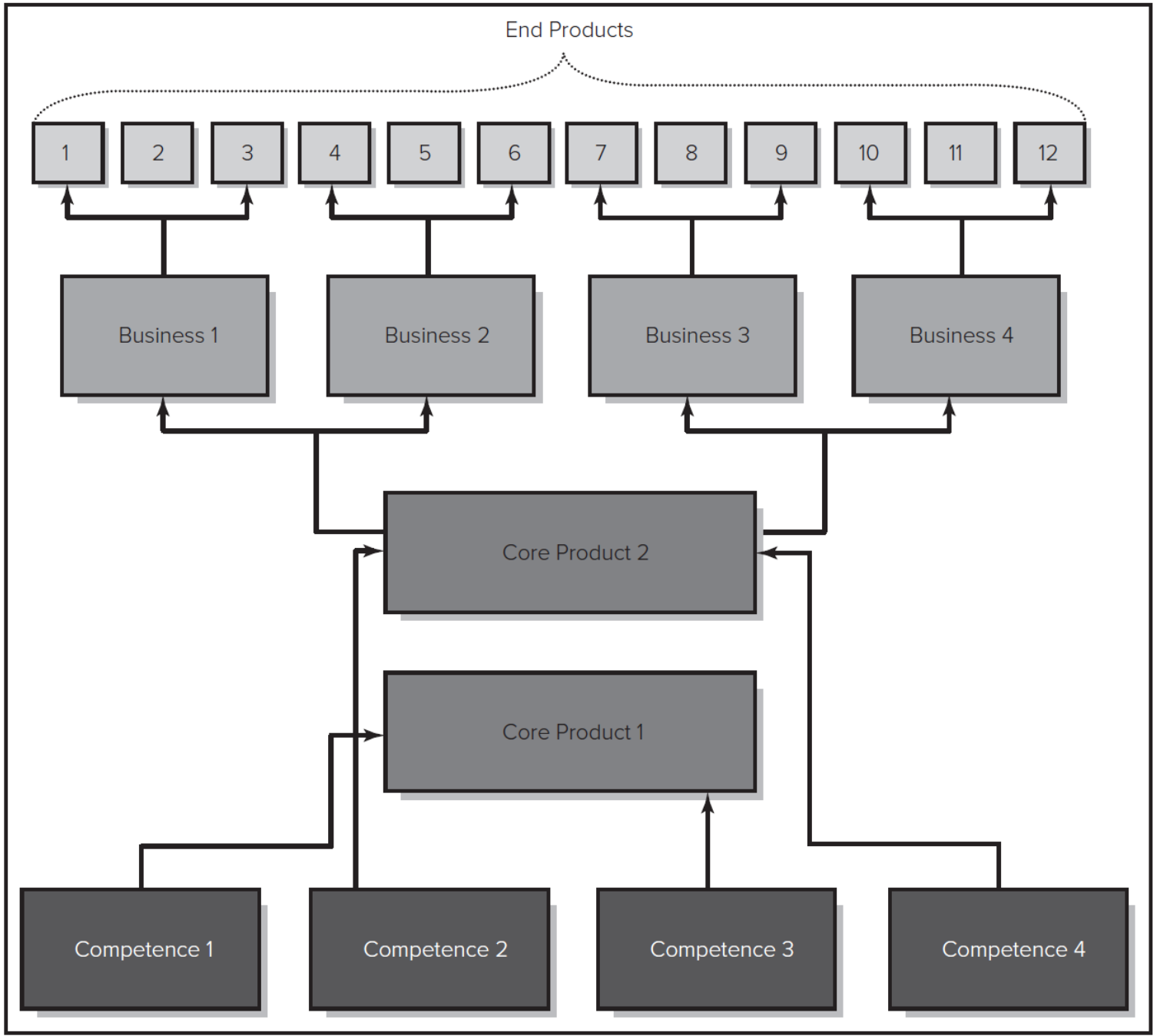
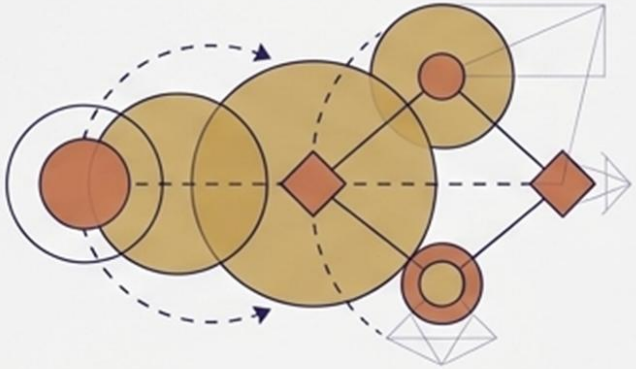


The Dynamic Firm vs. The Static Firm

Static Firms	Dynamic Firms
	
Resource Allocation: Rely on rigid annual budgets.	**Resource Allocation:** Use fluid capital that shifts rapidly to new technological bets.
Speed of Reconfiguration: Require years to restructure.	**Speed of Reconfiguration:** Routinely assemble and disband cross-functional teams around new architectures.
Response to Disruption: Defend the legacy moat.	**Response to Disruption:** Actively build new moats, even if it cannibalizes past success.

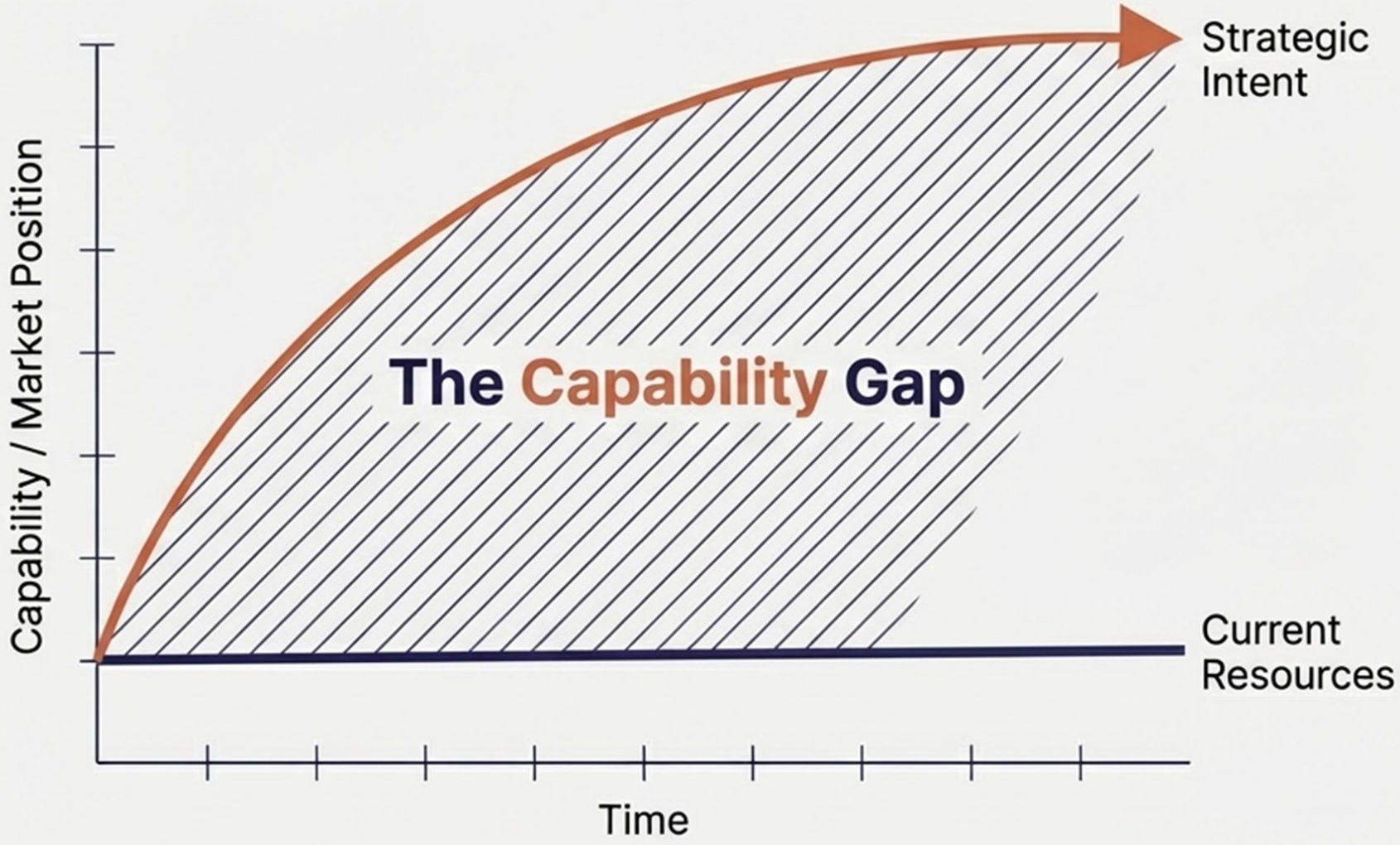
Dynamic capabilities are the supreme organizational meta-skills—the ability to continuously **integrate**, **build**, and **reconfigure** internal and external competencies.

Strategic Intent

Once the firm understands its current position, it defines its **strategic intent**.

- **Long-Term Vision:** Strategic intent is a high-level, long-term goal that typically looks 10 to 20 years into the future.
- **Closing the Gap:** It identifies the distance between the firm's current resources and the capabilities it will need to achieve its future goals.
- **Guiding Innovation:** Clearly articulated strategic intent allows a company to focus its development efforts and choose the specific investments required to develop necessary new technologies.

The Strategic Intent Vector



Strategic intent is not just a goal; it is an extreme misfit between current resources and future ambitions.

It forces the organization to leverage resources creatively and invent new capabilities to close the gap.

The Strategist's Diagnostic Dashboard

Position

Are we obsessing over defending our current core competency, or are we scanning the external radar for discontinuous technological shifts?

Capabilities

Can we point to a specific Dynamic Capability in our firm? How fast can we realistically reallocate capital and engineering talent to a brand-new threat?

Intent

Does our strategic intent stretch us uncomfortably beyond our current resources, or are we simply forecasting based on what we already know how to do?

Summary

1. The first step in establishing a coherent strategy for the firm is assessing the external environment. Two commonly used models of external analysis are Porter's five-force model and stakeholder analysis.

2. Porter's five-force model entails assessing the degree of existing rivalry, threat of potential entrants, bargaining power of suppliers, bargaining power of customers, and threat posed by substitutes. Recently Porter added a sixth force, the role of complements.

3. Stakeholder analysis involves identifying any entity with an interest in the firm, what it wants from the company, and what claims it can make on the company.

4. To analyze the internal environment, firms often begin by identifying strengths and weaknesses in each activity of the value chain. The firm can then identify which strengths have the potential to be a source of sustainable competitive advantage.

Summary

5. Next the firm identifies its core competencies. Core competencies are integrated combinations of abilities that distinguish the firm in the marketplace. Several core competencies may underlie each business unit, and several business units may draw upon the same core competency.

6. Sometimes core competencies can become core rigidities that limit the firm's ability to respond to a changing environment.

7. Dynamic capabilities are competencies that enable a firm to quickly reconfigure the firm's organizational structure or routines in response to change in the firm's environment or opportunities.

8. A firm's strategic intent is the articulation of an ambitious long-term (10 to 20 years out) goal or set of goals. The firm's strategic intent should build upon and stretch its existing core competencies.

9. Once the firm articulates its strategic intent, managers should identify the resources and capabilities that the firm must develop or acquire to achieve its strategic intent.